CHAPTER TWELVE: ENTREPRENEURIAL FINANCE AND ACCOUNTING

Understanding finance, it is not optional; it is essential for survival, decision-making, and growth.

MEANING AND DEFINITION OF ACCOUNTING

Accounting is often referred to as the "language of business." Just as language helps people communicate ideas, accounting enables businesses and organizations to communicate their financial information. In India, accounting has been practiced for centuries in different forms. Ancient texts such as *Kautilya's Artha shastra* mention the systematic maintenance of accounts for revenue collection, treasury management, and trade. Merchants in different parts of India developed indigenous systems like *Bahi-Khata* (traditional books of account), still seen in many small towns even today.

The Cash Book is the most common book, found almost in all household is the simplest book - tracks the cash in hand. It does not differentiate if the Cash came in as a profit from sale, or came by a withdrawal from bank account, or as an advance payment for goods to be supplied or as a loan. It just records the change in cash position, with limited information on what led to the change.

There are other books, that we kept independently, like the list of jewellery, list of land assets, loans given etc

In modern times, accounting has evolved into a formal discipline governed by rules, principles, and regulations. The

Institute of Chartered Accountants of India (ICAI), established by an Act of Parliament, plays a central role in setting accounting standards, regulating the profession, and ensuring that financial reporting in India meets international quality benchmarks.

Definitions of Accounting

- According to the American Institute of Certified Public Accountants (AICPA), accounting is "the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof."
- ICAI defines accounting in broader terms as "the process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by users of the information."

From these definitions, we can see that accounting is not just about bookkeeping—it is about generating meaningful information that helps in decision making.

Difference Between Accounting, Bookkeeping, and Auditing

- Bookkeeping is the systematic recording of day-to-day transactions. It is the first step.
- Accounting goes beyond recording, to classification, summarization, preparation of reports, and analysis.
- Auditing is an independent examination of financial information, usually carried out by a chartered accountant, to express an opinion on its truth and fairness.

Thus, accounting is broader than bookkeeping, but different from auditing.

OBJECTIVES OF ACCOUNTING

In India, accounting serves multiple objectives depending on the size and type of business, as well as statutory requirements. Some of the major objectives include:

1. Systematic Recording of Transactions – To ensure that every business transaction is recorded in a scientific manner, avoiding errors and omissions.
2. Determining Profit or Loss – Businesses exist to make profits. Accounting provides a clear statement of income and expenditure, enabling the calculation of net profit or loss for a given period.
3. Depicting Financial Position – The Balance Sheet shows the true position of assets, liabilities, and owner's equity. This helps stakeholders understand the financial health of a business.
4. Facilitating Decision Making – Whether it is a large conglomerate like Reliance Industries or a small shopkeeper in Chennai, accounting information helps managers and owners make better decisions regarding investments, expansion, cost control, and pricing.
5. Statutory Compliance – Indian laws such as the Companies Act, 2013, the Income Tax Act, and Goods and Services Tax (GST) laws require proper maintenance of accounts. For example, every registered company must file annual returns with the Ministry of Corporate Affairs (MCA).

USERS OF ACCOUNTING INFORMATION

Accounting information is not only for owners. It is used by various internal and external stakeholders:

Internal Users

- Owners and Partners – To know whether the business is profitable.
- Management – To plan, control, and make strategic decisions.
- Employees – To understand business stability, job security, and bonus prospects.

External Users

- Investors and Shareholders – To evaluate return on investment. For example, investors check Infosys' financial statements before deciding to buy shares.
- Creditors and Lenders – Banks and NBFCs rely on accounting reports before extending loans.
- Government – Income tax, GST, and other statutory authorities use accounting data to determine compliance and collect revenue.
- Public and Analysts – Analysts, rating agencies, and even competitors study accounting information to assess industry performance.

Thus, accounting is a critical tool for transparency and trust.

BASIC ACCOUNTING CONCEPTS AND PRINCIPLES

Accounting is based on a set of concepts and principles universally recognized. In India, these principles are aligned with Ind AS (Indian Accounting Standards). Some of the most important are:

1. Business Entity Concept – Business is treated separately from its owner. For example, if the owner of a shop withdraws cash for personal use, it is recorded as "Drawings" and not as an expense of the business.
2. Going Concern Concept – Assumes that the business will continue in the foreseeable future unless stated otherwise.
3. Money Measurement Concept – Only transactions measurable in money terms are recorded. A company's employee morale, though important, is not recorded in accounts.
4. Cost Concept – Assets are recorded at their purchase cost, not at market value. Erosion in value is accounted as "Mark to Market"
5. Dual Aspect Concept – Every transaction has two sides: debit and credit. For example, purchasing machinery by paying cash reduces cash but increases machinery.
6. Accrual Concept – Income and expenses are recorded when they are earned/incurred, not when cash changes hands. This is mandatory for companies under the Companies Act.

DOUBLE ENTRY SYSTEM OF ACCOUNTING

The double entry system, first formalized by Luca Pacioli in Italy, forms the backbone of modern accounting. In India too, all businesses and statutory records follow this principle.

Rules of Debit and Credit

- Personal Account – Debit the receiver, Credit the giver.
- Real Account – Debit what comes in, Credit what goes out.

- Nominal Account – Debit all expenses/losses, Credit all incomes/gains.

Example Journal Entries in Indian Context

1. Cash Sales of Goods worth ₹50,000 plus GST @ 18%
    - Debit: Cash A/c ₹59,000
    - Credit: Sales A/c ₹50,000
    - Credit: Output GST A/c ₹9,000
2. Payment of Salary ₹20,000
    - Debit: Salary A/c ₹20,000
    - Credit: Cash A/c ₹20,000
3. Taking Bank Loan of ₹1,00,000
    - Debit: Bank A/c ₹1,00,000
    - Credit: Loan from Bank A/c ₹1,00,000

If money comes into the bank account maintained by you, it will be a credit entry in the books maintained by the bank (and in the statement that bank issues to you – as an extract from their books). It will be the other way in your book. It will be an debit entry

The Double Entry System the Backbone of Accounting

- Every transaction affects two accounts.
- One account is debited; the other is credited.
- The system ensures the accounting equation stays balanced:

Personal Accounts – "Debit the Receiver, Credit the Giver"

Definition: Accounts related to individuals, firms, institutions.

Subtypes:

- Natural (e.g., Ramesh A/c)
- Artificial (e.g., ICICI Bank A/c)

- Representative (e.g., Outstanding Rent A/c)

Rule:

- Debit the Receiver
- Credit the Giver

Make a list of all personal accounts—especially vendors, lenders, and employees.

Real Accounts – "Debit What Comes In, Credit What Goes Out"

Definition: Accounts related to assets—tangible or intangible.

Rule:

- Debit What Comes In
- Credit What Goes Out

Nominal Accounts – "Debit Expenses/Losses, Credit Incomes/Gains"

Definition:

Accounts related to expenses, losses, incomes, and gains.

Rule:

- Debit All Expenses and Losses
- Credit All Incomes and Gains

Regulatory and Practical Nuances

GST Input and Output:

- Input GST → Debit (Expense)
- Output GST → Credit (Liability)

TDS (Tax Deducted at Source):

- TDS Payable → Credit
- Expense A/c → Debit

CSR Spending:

- CSR Expense A/c → Debit
- Bank/Cash A/c → Credit

Startup Grants or Subsidies:

- Grant Received A/c → Credit
- Bank A/c → Debit

Journal Entry Framework for Founders

1. Identify the transaction
2. Classify the accounts involved
3. Apply the correct rule
4. Record the journal entry
5. Post to ledger and trial balance

Common Mistakes to Avoid

- Misclassifying accounts (e.g., treating rent as a real account)
- Forgetting to record representative accounts
- Ignoring intangible assets like goodwill or IP
- Not reconciling nominal accounts before year-end

Building Your Accounting System

- Use Indian accounting software like Tally, Zoho Books, or Vyapar
- Set up chart of accounts aligned with these rules
- Train your team on basic journal entries
- Review monthly trial balances and ledgers

THE ACCOUNTING PROCESS

The accounting cycle involves:

1. Identifying Transactions – Recognizing business events with financial implications.
2. Recording in Journal – Passing journal entries.
3. Posting to Ledger – Transferring to respective accounts.
4. Preparing Trial Balance – Checking mathematical accuracy.
5. Preparing Financial Statements – Profit & Loss A/c, Balance Sheet, and Cash Flow.

Example: Small Kirana Shop in Chennai

- Buys goods worth ₹1,00,000 on credit.
- Sells goods worth ₹70,000 in cash.
- Pays rent of ₹10,000.

At the end of the month the cash book shows:

- Sales = ₹70,000
- Expenses = ₹10,000
- Shop keeper sees an increase in cash - ₹60,000. (Note that this is not real). He needs system that captures transactions comprehensively. This simple example shows how even small businesses benefit from accounting discipline.

Accounting Standards in India

The ICAI issues Accounting Standards (AS) and Ind AS (Indian Accounting Standards) converged with IFRS.

Financial Statements in the Indian Context

The three main statements are:

1. Profit and Loss Account – Shows revenues, expenses, and net profit.

2. Balance Sheet – Shows assets, liabilities, and owner's equity.
3. Cash Flow Statement – Shows inflow and outflow of cash.

Under Schedule III of the Companies Act, 2013, Indian companies must prepare statements in a prescribed format.

Example (Simplified Balance Sheet Format)

Balance Sheet as at 31st March 2025

- Assets
    - Non-Current Assets: Land, Plant, Equipment.
    - Current Assets: Cash, Inventory, Debtors.
- Liabilities
    - Share Capital.
    - Borrowings.
    - Current Liabilities: Creditors, Provisions.

REGULATORY FRAMEWORK IN INDIA

Accounting in India is not just about numbers; it is deeply regulated.

- Companies Act, 2013 – Governs preparation and disclosure of accounts.
- Income Tax Act, 1961 – Prescribes methods of accounting for computing taxable income.
- GST Laws – Businesses must maintain detailed records of supplies, ITC (Input Tax Credit), and returns.
- RBI Guidelines – Applicable to banks and NBFCs.
- SEBI – Mandates disclosures by listed companies.

This regulatory framework ensures reliability and protects stakeholders.

BRANCHES OF ACCOUNTING

1. Financial Accounting – Preparation of final accounts for external reporting. This is generally the backbone.
2. Cost Accounting – Controlling and reducing costs, important in manufacturing. Cost accounting pulls out data from the financial accounts to define the cost of a product of service.
3. Management Accounting – Providing insights for internal decision making.
4. Tax Accounting – Handling Income Tax, GST, and compliance in the Indian tax environment. Government announces methodologies to calculate taxes payable and these definitions could be a little different from the financial accounting.